

Comprehensive Hard CAMS Exam Practice Questions

Advanced Compliance Training Framework

June 4, 2026

Part 1: Money Laundering Risks, Methods, and Vehicles

1. Trade-Based Money Laundering (TBML)

A compliance officer at a multinational bank reviews an international trade transaction involving an export of industrial electronics. The documentation shows that the goods are shipped from a high-risk jurisdiction, but the invoice originates from a shell company registered in a secrecy haven. The unit price listed on the invoice is 400% lower than the standard global market index for these specific components. What primary TBML technique is being utilized, and what is the underlying criminal objective?

- A. Over-invoicing to justify the illicit transfer of high volumes of cash out of the importing country.
- B. Under-invoicing to allow the importer to sell the goods at market price in the destination country, thereby generating laundered, legitimate cash.
- C. Phantom shipping to generate a fraudulent paper trail without any physical transfer of electronic cargo.
- D. Black Market Peso Exchange structural manipulation to bypass standard customs clearing protocols.

Correct Answer: B

2. Correspondent Banking Risks

A European tier-1 bank provides correspondent banking services to a small, regional bank located in an offshore jurisdiction. During an annual review, the compliance team discovers that the respondent bank has allowed a third-party non-bank financial institution (NBFI) to route bulk, nested transactions through the correspondent account without prior disclosure. What represents the most critical systemic risk to the correspondent bank?

- A. Exposure to increased operational costs due to transaction monitoring volume spikes.
- B. Direct regulatory non-compliance with the European Central Bank's capital adequacy requirements.
- C. Virtual blindness to the true identity and source of wealth of the ultimate originators and beneficiaries of the nested transactions.
- D. Infringement of the Wolfsberg Group's principles on credit risk management.

Correct Answer: C

3. Shell Companies and Secrecy Havens

An investigation reveals a complex corporate structure involving three layers of shell companies located across the British Virgin Islands, Panama, and Cyprus. The ultimate beneficial owner (UBO) uses bearer shares held by a local corporate nominee provider to conceal their identity. When auditing this structure, what specific attribute represents the highest money laundering vulnerability?

- A. The geographic distance between the physical assets and the country of corporate registration.
- B. The use of bearer shares, which transfer ownership of the corporation through physical delivery of the stock certificate without a public registry record.
- C. The standard corporate tax variance between European jurisdictions and offshore islands.
- D. The utilization of standard nominee directors who are registered in public corporate registries.

Correct Answer: B

4. Digital Assets and Virtual Asset Service Providers (VASPs)

A compliance analyst at a crypto-to-fiat exchange flags a user account. The user deposited a high volume of privacy-focused digital assets (such as Monero), passed them through a decentralized mixing protocol (tumbler), and immediately initiated a fiat wire withdrawal to a financial institution located in a country under increased monitoring. Which stage of money laundering does the initial conversion and mixing phase represent?

- A. Placement
- B. Layering
- C. Integration
- D. Structuring

Correct Answer: B

5. Private Banking and Wealth Management

A private wealth manager is approached by a new prospective client who holds a prominent political position in an emerging economy with high corruption perception indices. The client wishes to establish an offshore trust to manage an investment portfolio valued at \$50 million, claiming the funds were generated via “historical family real estate liquidation,” but refuses to provide verifiable land registry records. Under CAMS standards, how must the institution classify this relationship?

- A. As a standard retail banking client subject to Simplified Due Diligence (SDD).
- B. As a Politically Exposed Person (PEP) requiring mandatory Enhanced Due Diligence (EDD) and senior management approval prior to onboarding.

- C. As an acceptable risk provided the trust uses a professional corporate trustee within a FATF-compliant jurisdiction.
- D. As a low-risk relationship because the funds are slated for long-term wealth preservation rather than liquid transactional spending.

Correct Answer: B

6. The Black Market Peso Exchange (BMPE)

A compliance review flags a series of domestic cash deposits into the accounts of multiple small-scale textile wholesalers in New York and Miami. The deposits are made by unrelated third parties in amounts just below \$10,000. Simultaneously, a Colombian agricultural importer receives commercial goods paid for by a local broker in Bogota using Colombian Pesos. What is the core mechanism driving this BMPE loop?

- A. Directly smuggling physical US dollars across the border to purchase agricultural equipment.
- B. Using narco-dollars in the US to pay legitimate domestic commercial invoices on behalf of foreign merchants who exchange local currency with a peso broker.
- C. Exploiting international credit card networks to bypass standard customs clearance procedures.
- D. Relying on formal correspondent banking relationships to execute standard currency swaps.

Correct Answer: B

7. Gatekeepers: Legal and Accounting Professionals

An international real estate transaction involves the purchase of a luxury penthouse in Manhattan for \$15 million in cash. The buyer is an anonymous Limited Liability Company (LLC) managed by a law firm acting as a nominee. The law firm utilizes its Interest on Lawyers' Trust Accounts (IOLTA) to pool and transfer the acquisition funds. Why is the use of an IOLTA highly vulnerable to exploitation by money launderers?

- A. IOLTAs are completely exempt from domestic federal law enforcement subpoenas.
- B. Financial institutions typically rely on the attorney's professional status and do not systematically look through the pooled account to identify individual client sub-transactions.
- C. Lawyers are legally required to report every IOLTA transaction directly to the World Bank.
- D. IOLTA balances are explicitly backed by sovereign credit guarantees that mask illicit origin paths.

Correct Answer: B

8. Free Trade Zones (FTZs)

A logistics firm operating inside a Middle Eastern Free Trade Zone alters the customs manifests and bills of lading for a shipment of consumer electronics, mislabeling the cargo as low-value plastic scrap to minimize duties and bypass inspection protocols. What inherent feature of FTZs creates this vulnerability?

- A. The absolute prohibition of any financial transaction monitoring by local law enforcement.
- B. Relaxed regulatory oversight, minimal customs documentation inspections, and intense volume of re-exported goods.
- C. Direct integration with global central bank clearing networks that bypasses commercial banks.
- D. A standard legal requirement that all transactions within the zone be settled exclusively in physical cash.

Correct Answer: B

9. Prepaid Cards and E-Money

A compliance department flags an individual who purchases 50 open-loop prepaid debit cards at various retail locations using physical cash, keeping each card balance at exactly \$500. The individual then travels internationally and systematically withdraws the cash from automated teller machines (ATMs) in a high-risk jurisdiction. What structural characteristic of open-loop prepaid cards makes this attractive for cross-border smuggling?

- A. They cannot be used outside the specific zip code where they were initially purchased.
- B. They offer global liquidity, portability, and can bypass physical border declarations that apply to bulk cash currency smuggling.
- C. They are legally classified as real estate assets rather than monetary instruments under FATF guidance.
- D. They permanently delete the underlying transaction history from the payment processor network every 24 hours.

Correct Answer: B

10. Human Smuggling vs. Human Trafficking

During a transaction monitoring sweep, an analyst identifies a retail checking account belonging to a local construction foreman that receives frequent, small-scale peer-to-peer mobile payments from 30 distinct individuals. Every Friday, the account holder withdraws 90% of the aggregate balance in cash, leaving a nominal balance, and pays frequent utility bills for three separate high-density residential properties. What specific criminal enterprise does this transactional profile most strongly indicate?

- A. Human Smuggling, characterized by a one-time transactional fee to cross a border illegally.

- B. Human Trafficking, characterized by ongoing, coercive exploitation of individuals for forced labor or commercial services.
- C. Sanctions evasion through advanced corporate structuring.
- D. Proliferation financing utilizing informal value transfer systems.

Correct Answer: B

Part 2: International AML/CFT Standards and Regulatory Frameworks

11. FATF 40 Recommendations: The Mutual Evaluation Process

A FATF member nation undergoes a Mutual Evaluation and is assessed on both “Technical Compliance” and “Effectiveness.” The evaluation team notes that while the nation has passed comprehensive legislation covering all 40 Recommendations, its local courts have yielded zero money laundering convictions over a five-year period due to systemic judicial corruption. How will this country’s rating reflect this finding?

- A. The country will receive a high compliance rating across all categories because legislation takes absolute priority over enforcement.
- B. The country will be rated compliant on Technical Compliance but will receive low marks for Effectiveness under the FATF Immediate Outcomes framework.
- C. The country will be immediately expelled from FATF without further right of administrative appeal.
- D. The country will be automatically transferred to the exclusive jurisdiction of the United Nations Security Council for direct legal sanctions.

Correct Answer: B

12. FATF Designated High-Risk Jurisdictions

When a jurisdiction is formally placed on the FATF “Black List” (Public Statement: High-Risk Jurisdictions subject to a Call for Action), what operational mandate does FATF apply to its member nations regarding transactions intersecting that jurisdiction?

- A. To completely freeze all international diplomatic assets belonging to that nation’s embassy.
- B. To apply enhanced due diligence measures and, where necessary, counter-measures to protect the international financial system from ongoing risks.
- C. To mandate that all transactions be routed exclusively through international non-profit organizations.
- D. To transition the jurisdiction’s financial institutions to a simplified due diligence status to encourage transparency.

Correct Answer: B

13. The EU Fifth Anti-Money Laundering Directive (5AMLD)

A European financial institution is updating its onboarding procedures to comply with 5AMLD parameters. What specific structural mandate does 5AMLD introduce regarding corporate transparency that directly affects client onboarding?

- A. The complete elimination of all corporate tax structures across the European Union.
- B. Publicly accessible central registries of ultimate beneficial owners (UBOs) for corporate entities and certain legal arrangements.

- C. A mandatory rule requiring all corporate entities to have a minimum of 10 distinct shareholders.
- D. The complete prohibition of non-resident individuals opening bank accounts within the Eurozone.

Correct Answer: B

14. USA PATRIOT Act: Section 311

The U.S. Secretary of the Treasury issues a designation under Section 311 of the USA PATRIOT Act, classifying a foreign financial institution as being of “primary money laundering concern.” What specific operational measures can be imposed on U.S. domestic financial institutions regarding this foreign target?

- A. Mandatory physical seizure of all physical real estate held by the foreign bank’s executives within the United States.
- B. Prohibition or strict conditioning of the opening or maintaining of correspondent or payable-through accounts for that foreign institution.
- C. Immediate criminal indictment of all depositors holding funds within that foreign institution.
- D. Automatic conversion of the foreign bank’s assets into U.S. Treasury bonds.

Correct Answer: B

15. USA PATRIOT Act: Section 313 and 319(b)

A U.S. clearing bank maintains a correspondent relationship with a foreign bank. Under Section 313 of the USA PATRIOT Act, what absolute prohibition is enforced, and what legal mechanism does Section 319(b) provide if the foreign bank refuses to comply with a federal subpoena?

- A. It prohibits clearing funds for any retail business; 319(b) permits the seizure of funds from the foreign bank’s U.S. correspondent account.
- B. It prohibits doing business with foreign shell banks; 319(b) allows the U.S. bank to execute a total asset forfeiture if a subpoena is ignored.
- C. It prohibits the use of digital asset transfers; 319(b) allows the Department of Justice to shut down the U.S. bank’s domestic branches.
- D. It prohibits doing business with foreign shell banks; 319(b) authorizes the U.S. correspondent bank to maintain a private ledger of the foreign bank’s sovereign debt.

Correct Answer: B

16. The Wolfsberg Group Anti-Money Laundering Principles

The Wolfsberg Group's guidance on Correspondent Banking emphasizes that a correspondent bank should evaluate the respondent bank's AML control environment. According to these principles, which factor is considered the most critical when evaluating a respondent's customer base?

- A. The total volume of retail mortgage loans issued by the respondent bank to local citizens.
- B. The presence of high-risk customer segments, such as downstream NBFIs, money services businesses (MSBs), and foreign PEPs.
- C. The type of accounting software utilized by the respondent bank's internal finance department.
- D. The physical architectural security of the respondent bank's regional headquarters.

Correct Answer: B

17. The Basel Committee on Banking Supervision

The Basel Committee's guidelines on "Sound Management of Risks Related to Money Laundering and Financing of Terrorism" explicitly assert that AML/CFT risk management should be handled through what type of holistic framework?

- A. An isolated, siloed compliance process that operates independently of the bank's broader operational risk framework.
- B. An integrated, bank-wide risk management framework that structures AML compliance under the umbrella of overall operational risk management across all three lines of defense.
- C. A framework managed exclusively by external third-party independent auditors on a continuous basis.
- D. A credit-risk modeling system that evaluates AML based solely on a client's loan default probabilities.

Correct Answer: B

18. United Nations Sanctions Frameworks

A bank handles a wire transfer originating from an entity that matches a name on the United Nations Security Council Consolidated Sanctions List. According to international mandates, what is the immediate, mandatory operational response required from the institution?

- A. To process the transaction normally but submit a Suspicious Activity Report within 30 business days.
- B. To freeze the assets or funds immediately without prior notice to the entity, preventing any transfer, conversion, or movement of the asset.
- C. To return the funds immediately to the originating bank with an explanation notice.
- D. To contact the entity directly to request an updated explanation of the transaction's economic purpose.

Correct Answer: B

19. Egmont Group of Financial Intelligence Units

What is the primary operational objective of the Egmont Group, and how does it facilitate international anti-money laundering efforts?

- A. It functions as an international court that prosecutes money laundering kingpins.
- B. It provides a secure platform for the exchange of financial intelligence and expertise among its member Financial Intelligence Units (FIUs) worldwide.
- C. It directly manages the asset recovery operations for international corporate bankruptcies.
- D. It sets binding global tax rates to eliminate offshore tax avoidance schemes.

Correct Answer: B

20. The FATF Style Regional Bodies (FSRBs)

What is the precise legal relationship and operational function of an FSRB (such as MONEYVAL or GAFILAT) relative to the central Financial Action Task Force?

- A. FSRBs are subordinate operational branches staffed directly by FATF employees to enforce U.S. laws in regional zones.
- B. FSRBs are autonomous regional bodies that promote, implement, and assess the execution of FATF Recommendations within their specific geographic regions.
- C. FSRBs are private consulting networks that draft corporate internal policies for fee-paying banks.
- D. FSRBs are judicial courts with the direct constitutional authority to imprison non-compliant regulators.

Correct Answer: B

Part 3: AML/CFT Compliance Program Design and Implementation

21. Corporate Governance: The Three Lines of Defense

A major retail bank faces an internal structural audit. The audit notes that the transaction monitoring team routinely asks the internal Independent Audit Department to design, test, and approve calibration models for AML alerts before they go live. Why does this model violate the “Three Lines of Defense” governance structure?

- A. The transaction monitoring team is the third line and should not take direction from the second line.
- B. The Independent Audit Department represents the Third Line of Defense and must maintain absolute objectivity and independence; designing operational models compromises their ability to independently audit those same systems.
- C. The business line executives are the only individuals legally permitted to calculate mathematical compliance formulas.
- D. It requires the involvement of the regulatory authorities to act as the primary operational designer.

Correct Answer: B

22. Designing a Risk Assessment Methodology

An institution is building an inherent risk assessment matrix. It calculates risk score inputs across three primary pillars: Customer Risk, Geographic Risk, and Product/Service Risk. Which combination represents the highest aggregate inherent risk rating?

- A. A domestic salaried teacher opening a basic savings account via an online web portal.
- B. A foreign corporate entity from a non-cooperative jurisdiction establishing a correspondent account that permits payable-through access for third-party clients.
- C. A local manufacturing firm utilizing standard commercial letters of credit to import raw materials from a FATF-compliant G20 nation.
- D. A domestic non-profit organization that distributes local educational scholarships through audited checks.

Correct Answer: B

23. Know Your Customer (KYC): Customer Due Diligence (CDD)

During the onboarding of a foreign corporate entity, a compliance officer successfully identifies an individual who owns a direct 12.5% equity stake in the company. Through another holding company, this same individual controls an additional 15% voting share. Assuming a standard regulatory UBO threshold of 25%, what is the proper compliance assessment of this individual's status?

- A. The individual is ignored because neither single input exceeds the 25% threshold independently.

- B. The individual must be aggregated to a 27.5% effective ownership/control position, classifying them as a Ultimate Beneficial Owner requiring formal identification and verification.
- C. The individual is automatically classified as low risk because their ownership is fractured across structures.
- D. The company must be rejected immediately without further documentation requests.

Correct Answer: B

24. Enhanced Due Diligence (EDD) for High-Risk Accounts

When executing Enhanced Due Diligence on a client classified as high-risk due to their PEP status, what operational step is mandated under CAMS standards that is *not* required during standard Customer Due Diligence?

- A. Verifying the customer's identity using a standard government-issued passport or driver's license.
- B. Determining the client's home mailing address and phone number.
- C. Establishing the source of wealth and source of funds of the individual through verifiable corroborative documentation.
- D. Checking the client's name against basic public telephone directories.

Correct Answer: C

25. Transaction Monitoring Calibration: Over-filtering vs. Under-filtering

A bank's automated transaction monitoring system generates 15,000 alerts per month, but analysis shows that 99.8% of these alerts are closed as false positives. The compliance director decides to immediately raise all behavioral thresholds by 300% to reduce the operational burden on staff. What systemic risk does this change pose to the effectiveness of the AML program?

- A. It introduces extreme over-filtering, creating an unacceptable risk of missing actual structured money laundering activities (false negatives).
- B. It increases the volume of filings submitted to the Financial Intelligence Unit, overwhelming the regulatory agency.
- C. It violates international accounting principles governing capital reserves.
- D. It automatically classifies all lower-tier staff members as PEPs.

Correct Answer: A

26. Red Flags in Sanctions Screening

A global payment processing network runs a daily sweep of its cross-border transactions against the OFAC Specially Designated Nationals (SDN) list. The system flags a transaction where the sender's name is spelled "M-U-A-M-A-R K-A-D-H-A-F-I" but the official list contains the spelling "M-O-A-M-M-A-R Q-A-D-D-A-F-I." What analytical capability must the screening software possess to ensure this transaction is caught, and what is the proper step for the analyst?

- A. Deterministic matching; the analyst must instantly delete the record.
- B. Fuzzy logic/algorithmic matching; the analyst must manually review the hit to determine if it is a true match or a false positive before releasing the funds.
- C. Exact-string matching; the analyst should ignore it because the letters do not line up precisely.
- D. Cryptographic hashing; the analyst must automatically forward the payment to the clearing bank.

Correct Answer: B

27. Developing an Effective AML Training Culture

An institution designs an annual AML training module. To save costs, the compliance department delivers identical, technical transaction-monitoring code training to the board of directors, the frontline branch tellers, and the facilities maintenance staff. Why does this training design fail to meet regulatory and CAMS expectations?

- A. Training must be delivered exclusively by external law enforcement personnel to be valid.
- B. Training must be customized and targeted to the specific roles, duties, and operational risks faced by the distinct segments of employees.
- C. The board of directors is legally exempt from undergoing any form of AML training.
- D. It fails to include a mandatory practical exam on international maritime shipping laws.

Correct Answer: B

28. Independent Testing and Auditing of AML Programs

What is the core prerequisite regarding the selection of the individual or team tasked with performing the independent testing of an institution's AML/CFT program?

- A. They must be directly involved in the daily drafting and filing of Suspicious Activity Reports to ensure technical knowledge.
- B. They must report directly to the Chief Compliance Officer who manages the transaction monitoring software.
- C. They must be completely independent, possesses the necessary expertise, and report directly to the Board of Directors or an independent audit committee.
- D. They must be an active agent of a local federal law enforcement bureau.

Correct Answer: C

29. Politically Exposed Persons (PEPs) Lifecycle Management

A corporate client has been a highly profitable account for 10 years. The client is elected to a prominent cabinet position in a foreign government. The compliance officer notes that because the relationship has been historically clean, the PEP status can be logged without modifying the risk tier or governance oversight. Why is this assessment flawed?

- A. A PEP designation automatically mandates re-tiering the account to high risk, conducting enhanced ongoing monitoring, and obtaining senior management approval to maintain the relationship.
- B. PEP status is only relevant if the individual is convicted of a felony prior to the election.
- C. The account must be liquidated within 24 hours of the election results being certified.
- D. The individual must be reported to Interpol for immediate asset tracking.

Correct Answer: A

30. Automated Monitoring Alerts Lifecycle

An analyst reviews an automated alert triggered by an account that executed ten consecutive cash withdrawals of \$9,500 over a two-week period. The analyst notes that the client is a well-known local commercial contractor. The analyst enters a manual note stating: "Client is an active builder; cash is likely for payroll," and closes the alert without further investigation or verification. What foundational compliance failure occurred?

- A. Closing an alert based on unverified assumptions regarding a classic structuring pattern without reviewing underlying source documents or validating the economic necessity.
- B. Failing to physically arrest the customer at the branch location.
- C. Neglecting to alter the bank's prime interest rate calculations for that client segment.
- D. Filing a Suspicious Activity Report too quickly before the two-week period ended.

Correct Answer: A

Part 4: Conducting and Supporting the Investigation Process

31. Suspicious Transaction Reporting (STR/SAR) Architecture

During an internal investigation, an analyst discovers that a client has been structuring funds to avoid tax reporting limits. The client notices the deep account dive and asks a branch teller if the bank is auditing them. The teller responds: “Our compliance team is looking into your cash patterns; you should be careful.” What legal and operational violation has occurred?

- A. Structuring violations under FATF Recommendation 10.
- B. “Tipping off,” which violates international AML laws by notifying a client or a third party that an investigation or an STR/SAR is being considered or executed.
- C. Breach of general retail customer service courtesy protocols.
- D. Unauthorized disclosure of proprietary corporate software configurations.

Correct Answer: B

32. Responding to Law Enforcement Subpoenas

A bank receives a formal federal law enforcement subpoena demanding the immediate production of all account records, wire transfer logs, and signature cards for a specific corporate customer under investigation for narcotics trafficking. How should the compliance officer execute the operational response?

- A. Refuse to provide the documentation citing client privacy and General Data Protection Regulation (GDPR) frameworks.
- B. Notify the customer immediately to allow them to clear the account before production.
- C. Promptly comply with the subpoena, gather all requested documentation within the specified legal timeframe, and maintain a complete internal mirror file of everything produced to law enforcement.
- D. Liquidate the customer’s assets and transfer the cash directly to the central bank’s operational fund.

Correct Answer: C

33. Managing Accounts Post-SAR Filing: “Keep Open” Requests

A bank files three consecutive Suspicious Activity Reports over a 90-day period on an account displaying clear signs of terrorist financing networks. The compliance committee decides to shut down the account immediately. However, a federal law enforcement agency contacts the bank in writing, requesting that the bank keep the account open to allow ongoing surveillance. What is the standard industry protocol for handling this scenario?

- A. The bank must ignore law enforcement to minimize its own commercial credit risk profile.

- B. The bank should comply with the law enforcement “Keep Open” request, but must ensure that the agreement is fully documented in writing, approved by senior management, and subject to close transaction-by-transaction monitoring.
- C. The bank must automatically transfer all compliance staff members to the law enforcement agency’s payroll.
- D. The bank must issue a public press release detailing the ongoing surveillance operation.

Correct Answer: B

34. International Cooperation: Mutual Legal Assistance Treaties (MLATs)

A financial investigator in Country A identifies that \$10 million in stolen sovereign funds was wired into a private bank account located in Country B. Country A and Country B have an active Mutual Legal Assistance Treaty (MLAT) in place. What is the function of the MLAT in this context?

- A. It allows Country A to send its own police forces to physically arrest the bankers in Country B without local authorization.
- B. It provides a formal, legally binding mechanism for the governments of Country A and Country B to cooperate in the exchange of evidence, judicial documents, and asset tracking/freezing across borders.
- C. It acts as an informal social network for regional intelligence sharing.
- D. It automatically synchronizes the tax codes of both nations.

Correct Answer: B

35. FIU-to-FIU Information Exchange

An investigator at Financial Intelligence Unit (FIU) Alpha identifies a suspicious cross-border wire sequence that terminates in the jurisdiction of FIU Beta. Can FIU Alpha share financial intelligence directly with FIU Beta, and under what standard principles is this exchange executed?

- A. No; FIU intelligence is completely proprietary and cannot cross border lines.
- B. Yes; they can exchange intelligence directly, typically adhering to the Egmont Group Principles for Information Exchange Between Financial Intelligence Units.
- C. Yes, but only if they obtain an explicit decree from the International Court of Justice.
- D. No, unless the transaction volume exceeds \$1 billion USD equivalent.

Correct Answer: B

36. Investigating Digital Footprints and Open-Source Intelligence (OSINT)

An internal investigator flags an account for sudden, erratic wire transfers to a high-risk border town. When conducting an OSINT review, what resource provides the most useful objective data to corroborate if the customer is a high-risk political figure or target?

- A. Standard unchecked social media fan pages with unverified commentary.
- B. Official government gazettes, international sanction databases, reputable investigative journalist consortia databases (e.g., ICIJ), and commercial corporate registries.
- C. Personal blog posts written by anonymous sources.
- D. Local real estate advertisements for tourist rentals.

Correct Answer: B

37. Documenting the Investigative Auditable Trail

When closing a multi-million dollar money laundering investigation, what critical component must be present in the final case file to withstand regulatory audit and law enforcement scrutiny?

- A. A brief summary note stating simply that the account was reviewed and deemed acceptable.
- B. A comprehensive, chronological narrative detailing the inception of the investigation, all investigative steps taken, analysis of the financial data, clear conclusions, and all underlying supporting documentation safely archived.
- C. A list of all software developers who wrote the underlying transaction monitoring source code.
- D. A signed waiver from the customer confirming they agree with the bank's internal conclusions.

Correct Answer: B

38. Asset Forfeiture and Restitution Support

A court issues an asset forfeiture order targeting a specific brokerage account filled with illicit options trading profits. What is the fundamental legal definition and purpose of asset forfeiture within an international AML framework?

- A. To permanently transfer legal ownership of illicitly acquired assets or property used in a crime to the state, thereby depriving criminals of their economic rewards.
- B. To temporarily hold funds until the suspect provides an updated passport validation.
- C. To penalize the compliance officer for failing to catch the transaction at onboarding.
- D. To distribute corporate dividends to the bank's minority shareholders.

Correct Answer: A

39. Recognizing Proliferation Financing Red Flags

A compliance officer reviews an import-export firm's documentation. The firm is exporting specialized dual-use dual-stage carbon valves. The destination country is under intense international scrutiny for nuclear weapons development, and the payment is routed through a series of third-party intermediaries who have no logical connection to the manufacturing process. What specific threat does this scenario indicate?

- A. Basic consumer tax avoidance.
- B. Proliferation Financing, which provides funds or financial services for the acquisition, manufacture, or development of nuclear, chemical, or biological weapons.
- C. Simple structural retail bankruptcy.
- D. A standard currency conversion discrepancy.

Correct Answer: B

40. Assessing Risk in Non-Governmental Organizations (NGOs) / Non-Profit Organizations (NPOs)

According to FATF guidance, why are certain Non-Profit Organizations highly vulnerable to being exploited for Terrorist Financing?

- A. They never utilize standard commercial banks to store their capital reserves.
- B. They enjoy public trust, access high volumes of cash, and routinely operate in or near conflict zones where standard financial monitoring infrastructure is compromised.
- C. They are legally barred from maintaining internal financial ledgers.
- D. They are run exclusively by foreign politically exposed persons.

Correct Answer: B

Part 5: Detailed Scenario-Based Case Studies

Scenario A: The Correspondent Bank Trap

A European clearing bank provides USD correspondent banking services to Bank Delta, a commercial bank headquartered in a jurisdiction known for weak regulatory enforcement. A routine audit of the correspondent account reveals that Bank Delta has been routing large, round-sum wire transfers (\$500,000 increments) originating from a network of retail electronics exporters in East Asia to a series of shipping logistics companies in Latin America. The wire details show no underlying commercial invoice numbers, and the payment descriptions consist solely of single-word phrases like “Consulting” or “Services.”

41. What specific money laundering typology does this pattern most closely resemble?

- A. Cyber-liquidation via ransomware manipulation.
- B. Trade-Based Money Laundering masked through nested correspondent accounts.
- C. Structured structuring of domestic savings deposits.
- D. Micro-structuring via peer-to-peer mobile wallet protocols.

Correct Answer: B

42. What immediate operational step should the compliance officer at the European clearing bank execute?

- A. Instantly delete the wire logs from the database to avoid a regulatory audit trail.
- B. File a Suspicious Transaction Report (STR/SAR) with their national FIU and issue a formal Request for Information (RFI) to Bank Delta demanding full documentation for the transactions.
- C. Call the Latin American shipping companies directly to ask for an explanation of their business model.
- D. Automatically approve the wires because Bank Delta holds a valid local operational banking license.

Correct Answer: B

43. If Bank Delta fails to respond to the RFI or provides evasive, incomplete answers within a reasonable timeframe, what is the proper escalation path?

- A. Lower the risk rating of Bank Delta to encourage future compliance.
- B. Escalation to senior management and the compliance committee to consider restricting or terminating Bank Delta’s correspondent banking relationship.
- C. Forwarding the bank’s internal source code to the media.
- D. Standard processing of all future transactions without further manual reviews.

Correct Answer: B

Scenario B: The Wealth Management Dilemma

A premier wealth management institution in Switzerland is approached by an intermediary representing the adult daughter of a senior procurement minister from an oil-rich nation. The daughter wishes to open an account to deposit \$25 million USD, which will be used to purchase high-end real estate across Europe. The intermediary provides documentation showing the funds originate from a offshore company owned by a trust of which the daughter is the sole beneficiary. The underlying source of wealth is stated as “consulting fees paid to the offshore structure by energy logistics companies.”

44. How should the onboarding team classify the daughter under CAMS PEP guidance?

- A. As a low-risk client because she does not hold an official government position herself.
- B. As a “PEP Associate/Family Member,” requiring mandatory Enhanced Due Diligence (EDD) and the highest level of risk-tiering.
- C. As a standard corporate client subject only to basic identification rules.
- D. As an exempt entity under the FATF definitions of global public servants.

Correct Answer: B

45. What represents the most critical red flag regarding the source of wealth statement?

- A. The use of European real estate as an investment vehicle.
- B. The involvement of an adult daughter rather than a corporate executive.
- C. The highly ambiguous nature of “consulting fees” paid by energy firms to a company owned by the daughter of a procurement minister in that exact industry sector.
- D. The total dollar amount falling exactly on a round number.

Correct Answer: C

46. Whose approval is legally and procedurally required under standard global AML guidelines before this specific account can be officially opened?

- A. The frontline branch manager who initiated the relationship.
- B. Senior Management / Executive Compliance Committee.
- C. The local police department precinct captain.
- D. The external software vendor who sells the KYC screening system.

Correct Answer: B

Scenario C: The Digital Frontier

A rapidly growing fintech company operates a Peer-to-Peer (P2P) lending platform. The platform allows users to fund small-business loans using both fiat currency and various digital assets. A compliance audit discovers that a single group of users, all connecting from identical IP addresses via a Virtual Private Network (VPN) routing through a known secrecy haven, have been systematically funding each other's "business loans" using digital assets, and then immediately liquidating the approved loans into cash wires sent to offshore corporate bank accounts.

47. What specific risk mechanism are the users exploiting in this scenario?

- A. Credit default swapping on legitimate corporate bonds.
- B. Using a peer-to-peer lending protocol as a front for a self-funding layering ring to convert illicit digital assets into legitimate cash loans.
- C. Standard retail micro-loan exploitation for interest rate arbitrage.
- D. Phishing attacks against the platform's primary cloud infrastructure database.

Correct Answer: B

48. What enhancement should the fintech company immediately implement within its transaction monitoring system to detect this activity?

- A. Eliminating all password requirements for users platform-wide.
- B. Implementing IP address geolocation anomalies tracking and device fingerprinting alongside transactional relationship mapping.
- C. Transitioning all data processing onto a completely offline paper ledger system.
- D. Mandating that all users be over 65 years of age to minimize digital asset volatility.

Correct Answer: B

Part 6: Advanced Multi-Choice / Analytical Application

49. Determining the True UBO in a Multi-Tiered Holding Structure

Company Alpha is applying to open a corporate brokerage account. The ownership structure is as follows:

- Company Beta owns 60% of Company Alpha.
- Company Gamma owns 100% of Company Beta.
- Individual X owns 50% of Company Gamma.
- Individual Y owns 30% of Company Gamma.
- Individual Z owns 20% of Company Gamma.

Applying a strict 25% beneficial ownership threshold calculation, which individuals must be verified as Ultimate Beneficial Owners (UBOs) of Company Alpha?

- A. Individual X only, because their effective ownership is 30% ($0.60 \times 1.00 \times 0.50 = 0.30$).
- B. Individuals X and Y, because X's effective ownership is 30% and Y's effective ownership is 18% ($0.60 \times 1.00 \times 0.30 = 0.18$), but Y represents an acting management class.
- C. Individual X only, as no other underlying individual cross-multiplies to meet or exceed the 25% threshold for the target entity.
- D. Individuals X, Y, and Z, because Company Gamma is treated as a completely transparent pass-through partnership vehicle.

Correct Answer: C